HEAL HOUSE SENIORS LIVING PROGRAM · YORK REGION · 36–48 STEELES AVE E, MARKHAM

Seniors' living at Yonge & Steeles, with care *built in*

Tower B of an approved two-tower site, bought out of receivership: 411 independent-living seniors' homes, 83 held affordable for 40 years, over a Heal House wellness podium. A York Region site for the Building Ontario Fund program.

411 homes	$196.7M	$7.1M	1.49x	$31.0M
83 AFFORDABLE · 40 YRS	PROJECT COST · $478K/HOME	STABILIZED NOI	DEBT COVERAGE, YR 1	BUILDING ONTARIO FUND

01 · PROGRAM — TOWER B

HOME	COUNT	SIZE	MARKET	AFFORDABLE
55+ 1 Bed	288	600 sf	$2,338	$1,376
55+ 2 Bed	123	820 sf	$2,963	$1,480
Heal House podium (in the building)	—	40,000 sf		no rent
Total · 408,880 sf GFA	**411**			**83 at 80% of CMHC rent**

02 · CAPITAL STACK

SOURCE	AMOUNT	SHARE
CMHC MLI Select — 4.25%, 50-yr amortization	$98.3M	50.0%
Building Ontario Fund — $75.5K/home, 4% current return	$31.0M	15.8%
BCH contribution — vests Yrs 1–10 vs affordable homes	$21.0M	10.7%
BCH mezz — no payments, repaid at Year 10	$17.5M	8.9%
City of Markham — incentives / DC relief	$9.8M	5.0%
Sponsor equity — land share + pre-development	$19.0M	9.7%
Total project cost	**$196.7M**	**100%**

03 · HOW THE SITE COMES TOGETHER

1. **LiUNA's pension backs Nesting Ground's guarantee pool**, which lifts the land loan to the full $31.0M price.
2. **The site is bought from the receiver**; Tower B carries $17.0M of the all-in land cost by floor area.
3. **Tower A** proceeds separately as rental with its own partner; **80 family & recovery suites** ($27.3M) are funded outside this stack (Sunray).
4. **At construction close**, the stack retires the land loan and funds the build.
5. **At Year 10**, an MLI Select refinance repays BCH and the Fund; Heal House keeps the building.

04 · YEAR 10: BCH AND THE FUND ARE REPAID

Year-11 NOI · value at 4.25%	$9.8M · $230.0M
New MLI Select loan at 1.20x	$168.7M
Repays first mortgage balance	($91.2M)
Repays BCH mezz	($17.5M)
Repays the Building Ontario Fund	($31.0M)
Cash back to sponsor at Year 10	**$28.9M**

Sponsor: $19.0M in → $22.4M cash flow + $28.9M at refinance = **2.7x, 8.5% IRR**, and Heal House owns a $230.0M building with $61.3M of equity. A seniors' rent premium lifts it:

MARKET RENT	COVERAGE	YR-10 CASH	SPONSOR
Market comps	1.49x	$28.9M	2.7x · 8.5%
+10% seniors premium	1.66x	$47.0M	4.1x · 12.5%
+15% seniors premium	1.74x	$56.1M	4.8x · 14.0%

05 · WHY THE BUILDING ONTARIO FUND

- **Patient capital makes the 40-year covenant viable** for the 83 affordable homes.
- **Pension partner alongside:** LiUNA, through Nesting Ground's guarantee pool.
- **Shovel-ready land:** zoning approved, priced through a court process, transit at Yonge & Steeles.
- **Fits the program:** 411 of the ~2,000 homes, at the program's $75.5K per home.

06 · STATED OPENLY

- The Fund's 4% return and Year-10 repayment are placeholders to set with the Fund.
- BCH mezz modelled interest-free to Year 10, as in Common Ground; at 4.5% accrual the Year-10 cash falls to $19.2M.
- BCH contribution is $253K per affordable home; BCH may want a non-profit co-owner on the affordable homes.
- Development charges ($19.5M) are estimates; approvals, stamped drawings and the Tower B floor-area split are unverified.

Sources: Tower B = 40-storey tower; GFA allocated 40/84 of the 858,648 sf approved scheme (Colliers, Jun 2026) — unverified vs stamped set · Arterial hard cost, Markham 40–60 storeys, $330–410/sf midpoint (Nov 4 2026) · Arterial scenario comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4) (Nov 4 2026) · Arterial / CMHC Markham zone avg rents 1BR $1,720, 2BR $1,850 (Nov 4 2026) · Arterial Markham multi-res rate 0.8397% (2025) · ESTIMATE — no Arterial Markham/York DC data; affordable units assumed DC-exempt (Ontario DCA); needs municipal quote · Heal House GR brief (Nov 3 2026): ~$151M Building Ontario Fund ask across ~2,000 homes = $75.5K/home · Program: ~400 of 2,000 homes (20%) affordable for 40 years, here at 80% of CMHC average rent · ASSUMPTION — Common Ground-style BCH split tranche (54.5% contribution vesting Yrs 1–10 vs affordable homes; 45.5% mezz, payment-free to Yr 10) with Heal House as owner; BCH mezz and Fund repaid from a Year-10 MLI Select refinance; Fund paid a 4% current return. Illustrative scenario for discussion — not a valuation, offer, commitment or financial advice. Subject to receiver and court approval, CMHC, Building Ontario Fund, BCH and City of Markham approvals, and LiUNA trustee approval.

HEAL HOUSE OPERATING ECONOMICS · TOWER B

Heal House, built into the *building*

The podium is funded in the capital stack and carried by the building's budget. Heal House operates it rent-free and brings the members, the programs and the wellness days.

349	$2.3M	$1.1M	$4.0M	$0
MEMBERS · 85% OF RESIDENTS	HEAL HOUSE REVENUE / YR	EBITDA · 50%	CLINIC BUILD-OUT, IN THE STACK	RENT TO HEAL HOUSE

01 · HEAL HOUSE P&L AT TOWER B

Membership — 349 × $350/mo	$1.5M
Wellness days — 25% of suite guests × $150	$0.8M
Cost of services (40%)	($0.9M)
Local overhead (10%)	($0.2M)
Rent and occupancy — carried by the building	$0.0M
EBITDA	**$1.1M**

02 · VALUE TO HEAL HOUSE FROM THIS SITE

8x EBITDA	$9.0M
12x EBITDA	$13.5M
Plus a clinic Heal House did not pay for	**$4.0M**

03 · TOWARD 2,000 HOMES

Members at 85% of 2,000 homes	1,700
Membership revenue / yr	$7.1M
EBITDA, space provided by each building	$3.6M
Housing NOI at Tower B's per-home rate	$34.5M

04 · STATED OPENLY

- 85% uptake is a sponsor assumption; membership is optional and separate from the lease.
- $350 is about 25% of an affordable 1-bed rent — offer a subsidized tier.
- Cost of services and margins follow the Heal House 15-year plan.
- Independent living only — bundling two care services triggers Ontario's Retirement Homes Act.
- Tower A's partner must fund its share of the land at closing.

Sources: Heal House $350/mo, 85% seniors uptake (sponsor assumption); 60% gross margin per HealHouse_15Year_BusinessPlan_Valuation (Jun 2026) · ASSUMPTION — 80 family & recovery suites funded outside the housing stack (e.g. Sunray cash); ADR $185, 72% occ., 30% NOI margin. Illustrative scenario for discussion — not a valuation, offer, or financial advice.